protection' in finance does not mean that unsophisticated households earn risk-less profits. All users of financial products should face the usual risk/reward trade-offs.

An unsophisticated household dealing with a bank is much like an unsophisticated household buying medicines. Regulation is required to ensure that promises are upheld with a reasonably high probability. In the case of financial markets, regulators push for better disclosure, the reliable working of financial markets and enforcement against market abuse.

The tasks of government in financial economic policy can be achieved using four agencies: a financial regulator, a central bank, a resolution corporation (which is a specialized bankruptcy process for certain financial firms) and a public debt management agency.

The usual public choice problems come in the way of the working of these organizations. There is a principal–agent problem; the staff of the agencies resists accountability and performance.

Inflation targeting is an accountability mechanism that puts a check upon printed money. The central bank is held accountable for running the printing presses at a rate that generates 4 per cent CPI inflation. This is a big step forward for obtaining state capacity at the central bank.

There is a problem of political independence of monetary policy, which can be resolved by shifting the power to set the short-term rate from one individual to the MPC. If the MPC is dominated by one person, e.g., if the persons who vote are the employees of the RBI governor, these gains are not obtained.

Achieving state capacity in financial regulation is extremely difficult. It involves a large number of transactions, high discretion, high stakes and high secrecy.

Indian finance has worked reasonably poorly on all four aspects of state intervention, as these are difficult problems, and as there have been many mistakes in the policy pathways that have been chosen.

The full policy pipeline worked in the equity market reforms starting with the G.S. Patel Committee in 1984. The early years of SEBI and NSE gave a quantum leap in the working of the equity market in the 1992–2001